Uniparts India Ltd — Concall Tracker

What the last 3+ years of earnings calls say about the earning trigger and whether management has been consistent · Report date: 11 Jul 2026 · 14 concalls read (Q3 FY23 → Q4 FY26)

1. Snapshot

What the business does: Uniparts makes metal parts for "off-highway" vehicles — mainly **three-point-linkage (3PL) systems** (the arms that hook an implement, like a plough, to the back of a tractor) and **precision-machined parts (PMP)** such as pins and bushings that go into the joints of tractors and construction/earth-moving machines. It sells almost entirely to big global equipment makers (John Deere, CNH, Caterpillar, Bobcat, Kubota) and to the US farm-store aftermarket. **Roughly 86% of sales are exports** (North America is the biggest market), so its fortunes track the US and European farm and construction machinery cycles.

Rs 3,182 cr
Market value of the company (what all its shares are worth today).

Rs 705
Share price — sitting right at its 1-year high (range Rs 335–711); the stock has already re-rated on the recovery.

~Rs 1,190 cr
FY26 group sales (the whole group, as management reports on the call) — up about 21% on last year.

22%
FY26 operating profit margin (profit before interest, tax, depreciation, as a share of sales) — back to healthy levels.

Rs 35.07
Profit per share over the last 12 months — up about 80% versus a year ago as volumes recovered.

P/E 20.8
Price ÷ per-share profit — you pay about Rs 21 for every Rs 1 of yearly profit; not cheap after the run-up.

ROCE 28% / ROE 27%
Return on capital and on shareholders' money — genuinely high; a good, asset-light business at mid-cycle.

Net cash Rs 160 cr
More cash than debt (debt-free); comfortably funds dividends and any acquisition.

Div. yield 2.16%
Yearly dividend as a share of price; FY26 total payout was a large Rs 170 cr including a special dividend.

Note on numbers: management discusses the whole group (consolidated) — FY26 sales ~Rs 1,190 cr. Screener's headline financial table is the standalone parent (FY26 sales Rs 717 cr), which understates group size. This report uses the group/consolidated figures management quotes for the business story, and Screener for market value and ratios.

2. Concall coverage

All **14 available transcripts** were read, oldest to newest — spanning **Q3 FY23 (Feb 2023, the first call after the Dec-2022 IPO) through Q4 FY26 (call held 26 May 2026)**: about 3.5 years of quarterly calls. No calls were missing. This is a full read of the company's entire public concall history.

Span	Calls read	What the numbers did
FY23 (peak)	Q3, Q4 FY23	Peak year — group sales ~Rs 1,366 cr, margin ~23%. But sales already turning down at year-end.
FY24–FY25 (deep downturn)	8 calls (Q1 FY24 → Q4 FY25)	Sales fell for ~8 straight quarters; trough was Q3 FY25 (group sales ~Rs 208 cr, margin down to ~14–18%).
FY26 (recovery)	Q1, Q2, Q3, Q4 FY26	Sales back to growth from Q1; Q4 FY26 group sales Rs 339 cr, up 34% — clear upturn.

★ Latest concall highlights — Q4 & FY26 (call held 26 May 2026)

- **Strong finish:** Q4 FY26 group sales **Rs 339 cr, up 34% year-on-year and 21% over the prior quarter** — the fastest growth in years, confirming the down-cycle has turned. Q4 profit **Rs 51 cr, up 124%** (more than doubled). Q4 operating margin **24% — the highest ever**, as higher volumes spread fixed costs (operating leverage).
- **Full-year beat:** FY26 sales grew **21%**, well above the "mid-teens" (~15%) management had guided; FY26 operating margin **22%**; per-share profit for the year **Rs 35.07, up ~80%**.
- **Next-year guide:** FY27 growth expected **"in line with FY26" (i.e. ~20%)**, with the second half stronger than the first. New-order wins over the last 12 months **above Rs 225 cr** (up 12.5% on the prior quarter) — the pipeline that feeds future sales.
- **Two shocks handled:** a **fire** at the Ludhiana finishing shop (late Q3) — fully insured, output kept running via other units, rebuild due by year-end; and a **West Asia flare-up** that pushed up input costs (offset by a favourable rupee). A **special dividend of Rs 101 cr** was paid in Q3; total FY26 dividend **Rs 170 cr**.
- **Still no acquisition:** the long-promised takeover to add a third product line remains undone — management says it has looked at ~12 targets and two deals fell through; it paid the special dividend partly because one deal was declined. Tone overall: **confident** — "the global agriculture and construction equipment cycle is turning."

Business mix & capacity (quick facts)

Where sales come from (FY26): India (home market) is only about **14%** of sales; **~86% is exported** — North America ~53%, Europe ~25%, Japan ~5%. *Read: this is essentially an export business; India demand barely moves the needle.*

How product reaches customers (FY26): warehousing/near-shored ~51% (highest-margin), direct exports ~26%, made-and-sold in India ~14%, made-and-sold in USA ~8%. *Read: margins are driven more by this delivery mix than by which product; the warehousing share has grown, which helps margin.*

Capacity: management did **not disclose a single utilisation %** — it says capacity is set by bottleneck steps and is fungible between its two product lines. Capex is kept low at **2.5–3.5% of sales**, and it says it is **not constrained** from reaching past peak volumes. A new **Mexico warehouse** went live Oct 2025 to serve customers near-shore. *Read: plenty of headroom to grow output without heavy spending.*

★ 3. Earning-trigger thesis

The main thing management points to is a **cyclical recovery in the global off-highway equipment market** (farm + construction machinery) after what it calls the deepest downturn in 30–40 years — **amplified by Uniparts' own new-business wins** (trailing-12-month order wins of ~Rs 200–225 cr) and its **tariff-resilient "dual-shore / near-shore" model** (it can make product in India, the US or Mexico, so it dodges US import tariffs and takes share). As volumes return, operating leverage pushes margins back above the ~20% "through-the-cycle" level. In short: **a cyclical bounce off the bottom, layered with steady share gains.**

Driver	What management said	Evidence so far	Time frame	Strength
Cycle recovery (farm + construction)	Q3 FY25 was the bottom; construction "green", small-ag "amber", large US farm still "red" but bottoming	Sales back to year-on-year growth from Q1 FY26; Q4 FY26 +34%; margin at a record 24%	Playing out now; builds through FY27	**Strong — but cyclical, not permanent**
New-business wins	~Rs 200–225 cr of orders won each rolling year, broad-based across large-ag and precision parts	Held at ~Rs 200 cr+ for several quarters; converting to sales as the cycle turns	1–3 years	**Moderate — but stuck near Rs 200 cr for 2–3 yrs; the promised "10x" scale-up hasn't come**
Dual-shore / Mexico vs US tariffs	Model lets it stay "P&L-neutral" on tariffs and win share from China-based rivals	Mexico warehouse live Oct 2025; 3 customers, 2 ramping; tariffs passed through so far	1–2 years	**Moderate**
Third platform via acquisition (hydraulics / PTO)	Long-promised deal to add a third revenue leg beyond 3PL and PMP	Still not done after 3+ years; paid a special dividend instead	Unclear	**Weak / unproven**

4. Management-consistency scorecard (promised vs delivered)

When	What was promised	What actually happened	Verdict
FY23 (post-IPO)	~16% medium-term yearly growth; 20%+ operating margin held "over the cycle"	Sales then fell for ~8 quarters; margin sank to ~14–18%	**Missed — but the cycle cause was flagged early**
FY24	"Mid-teens" growth for FY25	Walked it back to "reassessing", then flat-to-down; kept cutting	**Missed — guidance credibility took a hit**
FY25	"Q3 FY25 is the trough; recovery ahead; mid-teens FY26"	Q3 FY25 **was** the bottom; a clean sequential recovery followed	**Delivered**
FY26	Mid-teens FY26 growth; margin back toward 18–20%	Beat it — 21% growth, 22% margin, record Q4	**Delivered / beat**
Ongoing (3+ yrs)	Acquisition to add a 3rd platform; order wins to scale "10x"	No deal closed; order wins stuck at ~Rs 200 cr	**Dropped / not delivered**

Has the story drifted? The *strategy* has been remarkably steady for 3+ years — a diversified off-highway parts supplier, growth led by new-business wins, a tariff-proof dual-shore model, a net-cash balance sheet, and disciplined payouts. Management was also **honest** through the pain (it openly blamed an unprecedented, simultaneous down-cycle in *both* farm and construction machinery, and analysts publicly jibed at repeated guidance cuts — "tarikh pe tarikh"). Where it fell short was **near-term guidance during FY24–FY25** (missed and cut several times) and two long-standing gaps that persist to today: the **never-closed acquisition / third platform** and the **order book that has sat at ~Rs 200 cr for years** instead of scaling. Credibility recovered once it correctly called the Q3 FY25 trough and beat FY26.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a **clear, live, now-visible driver**: the cyclical upturn plus steady new-business wins is real and finally showing in the numbers (Q4 FY26 sales +34%, record 24% margin, per-share profit +80%). But it is a **cyclical bounce off a deep trough, not a structural growth engine** — group sales are still ~13% below the FY23 peak, large US farm equipment is still shrinking, US tariffs and West Asia are live risks, and the structural add-ons (an acquisition/third platform, an order book that scales) **have not materialised**. Strong cyclical recovery, but the *durable* part is unproven → **MAYBE**.

Management consistent? → MAYBE

The strategic story and capital discipline (net cash, steady and even special dividends, notably honest commentary) have been **very consistent**, and management **correctly called the trough and beat FY26 guidance**. But it **repeatedly missed and cut near-term guidance** through the downturn, and has **not delivered** the long-promised acquisition/third platform or the order-book scale-up it has talked up for years. A genuinely honest team with a steady strategy but a **mixed promised-vs-delivered record** → **MAYBE**.

Sources: Uniparts India Ltd earnings-call transcripts, Q3 FY23 (Feb 2023) to Q4 FY26 (26 May 2026), via Screener.in; Screener.in financial snapshot. Figures are as stated by management on the calls (group/consolidated) and Screener. This is not investment advice — do your own due diligence.